

Financial Market Inflation Expectations

6/2025



Contents

I. SHRUTÍ	3
II. INFLACE	4
III. HRUBÝ DOMÁCÍ PRODUKT	5
IV. ÚROKOVÉ SAZBY – 2T REPO, PRIBOR, IRS	6
V. MĚNOVÝ KURZ	8
VI. NOMINÁLNÍ MZDY	9

I. SUMMARY

Thirteen domestic and three foreign analysts took part in the June survey of financial market inflation expectations. The results show that the inflation forecast was unchanged at both the one-year and three-year horizons, remaining very close to the CNB's 2% inflation target. The view on the domestic economic growth estimate for this year is slightly more optimistic, while the outlook for next year remained unchanged. None of the analysts expected a change in monetary policy at the June CNB Board meeting, and they expect a more gradual easing over the next 12 months. The forecast for the koruna exchange rate is again basically mirroring the previous path observed in the foreign exchange market and the nominal wage growth forecasts have been revised up for 2025 and 2026.

DOMÁCÍ ANALYTICI	I.	II.	III.	IV.	V.	VI.	VII.	VIII.	IX.	X.	XI.	XII.
Jiří Polanský, Česká spořitelna	+	+	+	+	+	+						
Jan Vejmělek, Komerční banka	+	+	+	+	+	+						
Patrik Rožumberský, Unicredit Global Research	+	+	+	+	+	+						
Helena Horská, Martin Kron, Raiffeisenbank	+	+	+	+	+	+						
Petr Dufek, Banka CREDITAS	+	+	+	+	+	+						
Petr Sklenář, J&T Banka	+	+	+									
Radomír Jáč, Generali Investments CEE	+	+	+	+	+	+						
David Havrlant, ING	+	+	+	+	+	+						
Kamil Kovář, Moody's Analytics	+	+		+	+	+						
Jan Kudláček, Tomáš Lébl, UNIQA	+	+	+	+	+	+						
Jaromír Šindel, ČBA			+	+		+						
Lukáš Kovanda, Trinity Bank	+	+	+	+	+	+						
Michal Šoltés, RoklenFin	+	+	+	+	+	+						
Martin Janičko, MND	+	+	+	+	+	+						
Jan Bureš, ČSOB			+									
ZAHRAŇNÍ ANALYTICI												
Piotr Kalisz, Citi	+	+		+	+	+						
Basak Edizgil, Goldman Sachs	+	+		+	+	+						
Sili Tian, The Economist Intelligence Unit				+								
Jose A. Cerveira, JP Morgan	+	+	+	+		+						

We would like to thank everyone who contributed to this survey of financial market inflation expectations.

Prague, 25 June 2025

II. INFLATION

ANNUAL CPI GROWTH FORECAST
(%)

Červen 2025	CPI	
	1Y	3Y
minimum	1,7	2,0
průměr	2,1	2,1
maximum	2,5	2,5

ONE-YEAR AND THREE-YEAR CPI GROWTH FORECAST
(%)

Predikce v měsíci	ANALYTICI		ČNB v %
	1Y	3Y	1Y
červen 2024	2,2	2,2	2Q: 1.9
červenec 2024	2,1	2,1	
září 2024	2,2	2,1	3Q: 1.9
říjen 2024	2,2	2,2	
prosinec 2024	2,3	2,2	4Q: 2.4
únor 2025	2,2	2,1	
květen 2025	2,1	2,1	1Q: 2.2
červen 2025	2,1	2,1	

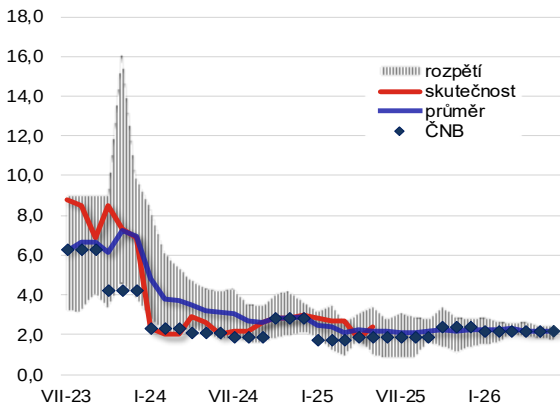
In May, the consumer price index rose by 2.4% year on year, which is 0.6 percentage point higher than in April. Higher inflation was due mainly to food and non-alcoholic beverages. Housing prices also had a significant effect, with the costs of both owner-occupied housing and rents continuing to rise sharply. Goods prices rose by 0.9% year on year, while services prices increased by 4.9%. Consumer prices increased by 0.5% month on month in May. In this case, too, growth is driven mainly by food, alcohol and tobacco inflation. Lower fuel prices had the opposite effect. Goods and services prices both went up by 0.5%.

The analysts' average view of future inflation is unchanged from the May survey. Annual inflation of 2.1% is thus expected to slightly exceed the CNB's inflation target at both the one-year and three-year horizons. The range of the individual one-year forecasts widened slightly due to a moderate decrease in the minimum value, while the maximum and minimum three-year forecasts are unchanged and so is their range.

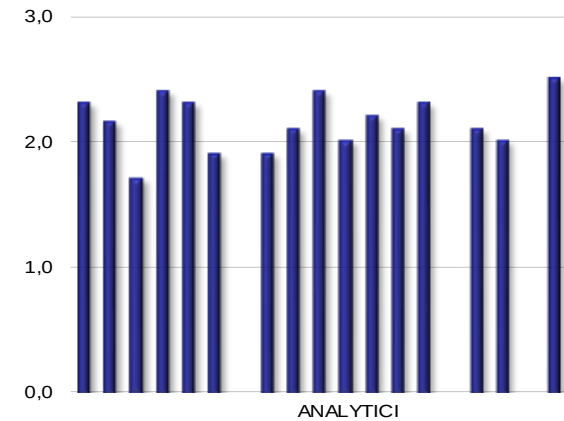
The May inflation rate again came as a surprise, but unlike inflation in April, it was higher than expected. This was due mainly to very volatile prices of food, beverages and tobacco, but also of services, and core inflation. Inflation could fluctuate in the upper half of the tolerance band around the inflation target in the coming months. Price pressures in the services sector are likely to remain elevated owing to favourable labour market developments and household consumption. However, they are expected to decline gradually by the end of this year. In addition to the geopolitical situation, food prices remain the main source of uncertainty, representing a two-sided risk and potentially contributing to greater month-on-month volatility.

The CNB's spring forecast expects annual consumer price inflation of 2.2% in 2026 Q2.

CONSUMER PRICE INDEX AT THE ONE-YEAR HORIZON
AVERAGE AND RANGE OF PREDICTIONS IN %



CONSUMER PRICE INDEX AT THE ONE-YEAR HORIZON
PREDICTIONS OF INDIVIDUAL ANALYSTS (%)



III. GROSS DOMESTIC PRODUCT

GDP GROWTH FORECAST

(%)

Červen 2025	běžný rok	+1Y
minimum	1,5	1,1
průměr	1,9	2,0
maximum	2,3	2,9

GDP GROWTH FORECAST

(%)

Horizont predikce Predikce za měsíc	běžný rok	běžný+1Y
červen 2024	1,3	2,7
červenec 2024	1,3	2,6
září 2024	1,0	2,5
říjen 2024	1,0	2,4
prosinec 2024	1,0	2,0
únor 2025	2,0	2,3
květen 2025	1,8	2,0
červen 2025	1,9	2,0

The Czech Statistical Office revised its estimate for annual GDP growth in 2025 Q1 to 2.2%. This is 0.2 percentage point higher than in the preliminary estimate. Economic growth was driven mainly by final consumption expenditure of households and change in inventories. General government final consumption expenditure also had a positive impact. Conversely, gross fixed capital formation and the trade balance had a negative effect. In quarter-on-quarter terms, GDP growth for 2025 1Q was revised upwards by 0.3 percentage point to 0.8%. The main factors also included household final consumption expenditure, supported by gross capital formation. By contrast, government expenditure had a negative impact.

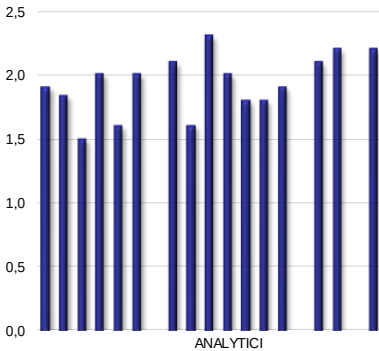
Analysts' view of developments in the domestic economy this year is slightly more optimistic than in the May survey, and on average they expect GDP in the Czech Republic to increase by 1.9% year on year in 2025 as a whole. This is 0.1 percentage point more than in the previous survey. The range of the estimates for this year narrowed slightly due to a small increase in the minimum value. The average economic growth outlook for next year is unchanged and remains at 2%. The range of the individual forecasts for 2026 widened, due both to a slight drop in the minimum value and to a rise in the maximum value.

Analysts believe that the Q1 statistics may reflect stockpiling by US producers and consumers prior to the introduction of tariffs on imported goods into the USA which, some analysts believe, was reflected in a stronger increase in Czech exports than would be consistent with fundamental macroeconomic developments. In this context, however, some respondents are cautious about future developments, which may deteriorate rapidly in the coming quarters as the stockpiling effect diminishes. The still persistent relatively high uncertainty may negatively affect investment activity and make households more cautious in their consumption. Therefore, some of the analysts are of the opinion that the Czech economy could even go through a modest recession in the second half of this year. However, the economic recovery should return next year, driven to a greater extent by stronger external demand.

The CNB's spring forecast expects GDP to grow by 2% in 2025 and accelerate to 2.1% in 2026.

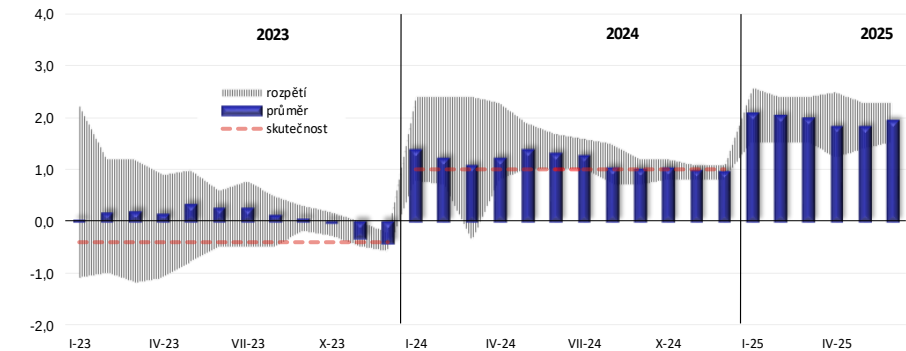
INDIVIDUAL PREDICTIONS

OUTLOOK FOR THIS YEAR IN %



GDP GROWTH AT END OF YEAR

AVERAGE AND RANGE OF PREDICTIONS IN %



IV. INTEREST RATES – 2W REPO, PRIBOR, IRS

FORECAST FOR 2W REPO, 12M PRIBOR AND 5Y AND 10Y IRS

(%)

Horizont predikce Predikce za měsíc	2T repo sazba		12M PRIBOR		5Y IRS		10Y IRS	
	1M	1Y	1M	1Y	1M	1Y	1M	1Y
červen 2024	4,93	3,54	4,47	3,59	3,86	3,53	3,95	3,63
červenec 2024	4,51	3,35	4,21	3,42	3,58	3,45	3,66	3,55
září 2024	4,25	3,36	3,73	3,34	3,29	3,39	3,43	3,50
říjen 2024	4,01	3,25	3,67	3,28	3,38	3,35	3,53	3,50
prosinec 2024	3,95	3,27	3,65	3,29	3,59	3,47	3,70	3,61
únor 2025	3,70	3,16	3,54	3,31	3,60	3,46	3,75	3,64
květen 2025	3,46	3,05	3,40	3,24	3,43	3,37	3,69	3,61
červen 2025	3,50	3,11	3,40	3,20	3,49	3,40	3,74	3,63

FORECASTS: MINIMUM, AVERAGE AND MAXIMUM 2W REPO, 12M PRIBOR, 5Y AND 10Y IRS

(%)

Červen 2025	2T repo sazba		12M PRIBOR		5Y IRS		10Y IRS	
	1M	1Y	1M	1Y	1M	1Y	1M	1Y
minimum	3,50	2,75	3,30	2,75	3,39	2,90	3,48	2,80
průměr	3,50	3,11	3,40	3,20	3,49	3,40	3,74	3,63
maximum	3,50	3,50	3,58	3,45	3,60	3,70	4,20	4,20

ACTUAL INDICATOR VALUES AS OF FORECAST DEADLINE

(%)

	2T repo sazba	12M PRIBOR	5Y IRS	10Y IRS
15.6.	3,50	3,43	3,61	3,86

All the respondents expected key interest rates to remain unchanged at the June Bank Board meeting and monetary policy to enter the second half of this year with the 2W repo rate at 3.5%. This can still be attributed to the CNB's cautious approach. According to some of the analysts, a strong argument for this approach was the higher headline inflation in May and its elevated core component.

Despite hawkish comments from Bank Board members, the analysts continue to expect key interest rates to fall slightly further at the one-year horizon. The most frequently mentioned was the November CNB Bank Board meeting. However, the average annual estimate of the 2W repo rate increased slightly compared to the previous survey. The analysts are thus expecting a smaller easing of the CNB's monetary policy than they had estimated a month ago. However, the outlook remains uncertain in both directions, with some commentators noting that in addition to the geopolitical situation and the cyclical development of the economy, the level which most CNB Board members consider to be consistent with the neutral interest rate will also play a role.

ANALYSTS' FORECAST – 2W REPO RATE LEVEL IN 1Y

(%)

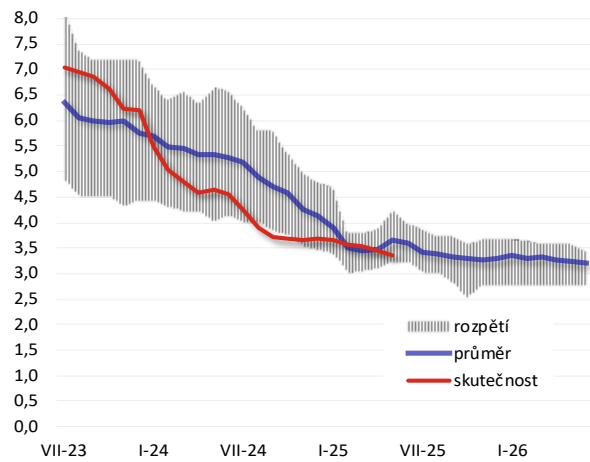
úroveň 2T repo sazby za 1Y (%)	2,50	2,75	3,00	3,25	3,50	3,75
počet analytiků - aktuální šetření	0	2	7	5	2	0
- minulé šetření	0	2	8	3	1	0

PRIBOR and IRS rates increased slightly since the previous survey (up by 3 to 6 basis points). In our survey, analysts' average forecasts showed mixed and modest movements, ranging from -4 to 6 basis points, with increases slightly prevailing, mainly for IRS rates. As in May, the monthly forecasts are slightly above the annual forecasts and thus signal an expected decline in the reference interbank rates and a slight downward shift in interest rate derivatives over the next twelve months.

The CNB's spring forecast implies a 2W repo rate of 2.7% in 2026 Q2.

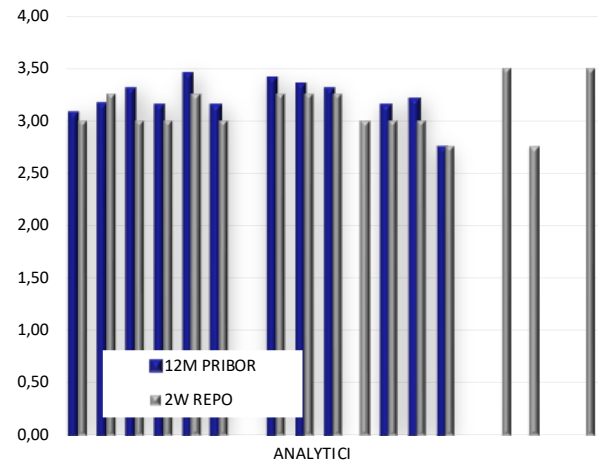
12M PRIBOR AT 1Y

ACTUAL DATA, AVERAGE AND RANGE OF PREDICTIONS IN %



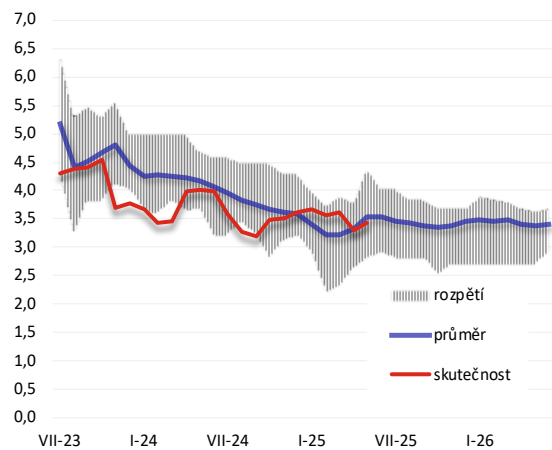
2W REPO AND 12M PRIBOR AT 1Y

PREDICTIONS OF INDIVIDUAL ANALYSTS IN %



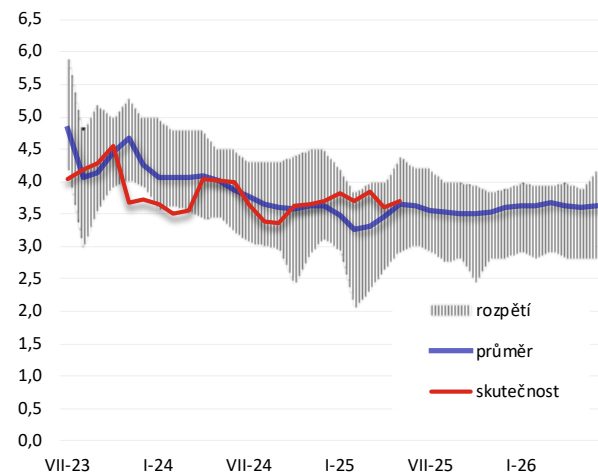
5Y IRS AT 1Y

AVERAGE AND RANGE OF PREDICTIONS IN %



10Y IRS AT 1Y

AVERAGE AND RANGE OF PREDICTIONS IN %



V. EXCHANGE RATE

EXCHANGE RATE FORECAST

Horizont predikce Predikce za měsíc	Kurz EUR/CZK	
	1M	1Y
červen 2024	24,73	24,57
červenec 2024	25,21	24,70
září 2024	25,07	24,75
říjen 2024	25,16	24,62
prosinec 2024	25,08	24,83
únor 2025	25,13	24,93
květen 2025	24,96	24,84
červen 2025	24,85	24,78

KORUNA EXCHANGE RATE FORECASTS/PREDICTIONS

Červen 2025	kurz EUR/CZK	
	1M	1Y
minimum	24,70	24,45
průměr	24,85	24,78
maximum	24,90	25,30

ACTUAL EUR/CZK AS OF FORECAST DEADLINE

15.6.	24,84
-------	-------

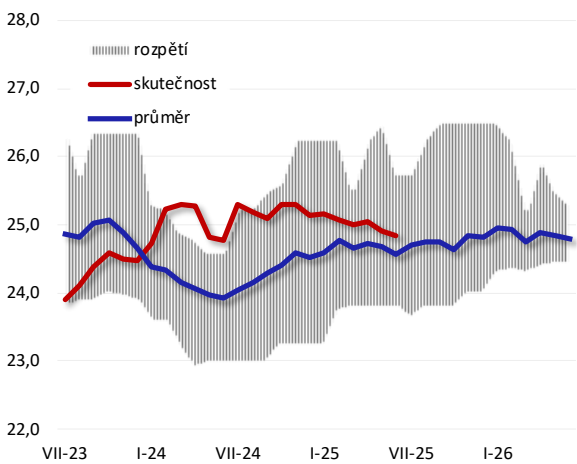
The koruna strengthened slightly on the foreign exchange market between the cut-off dates of the May and June surveys, when it appreciated by 9 hellers to CZK 24.84/EUR. This may have been aided by easing bets on a drop in the CNB's key interest rates. As usual, the forecasts in our survey were also revised in the same direction. The one-month forecast recorded a change of 11 hellers towards CZK 24.85/EUR. The revision to the annual forecast was smaller, this time by just 6 hellers to CZK 24.78/EUR.

The analysts continue to expect the koruna exchange rate to be broadly stable at its current level at the one-month horizon. As usual, they do not abandon the scenario of a gradual appreciation trend in the annual horizon, but its pace should be even more moderate than assumed in the previous survey. The Czech economy may start to recover gradually. The positive interest rate differential vis-à-vis the euro area should also be reflected. However, geopolitical developments may act in the opposite direction, be it the US tariffs or ongoing military conflicts causing greater risk aversion.

The CNB's spring forecast expects the koruna at CZK 25.3 to the euro in 2026 Q2.

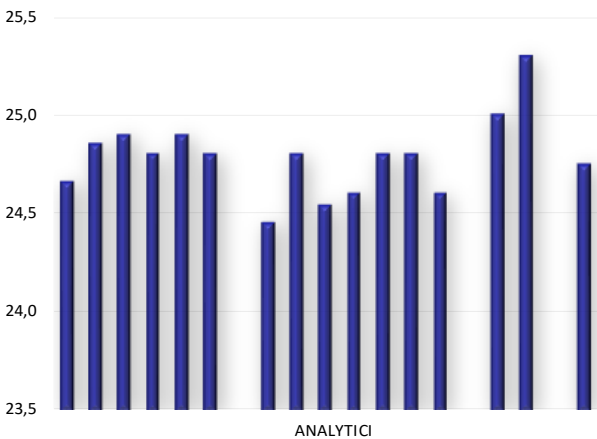
EUR/CZK

AVERAGE 1Y PREDICTIONS AND THEIR RANGE OF INDIVIDUAL FORECASTS



INDIVIDUAL 1Y PREDICTIONS

EUR/CZK



VI. NOMINAL WAGES

FORECAST FOR NOMINAL WAGE GROWTH (%)

Červen 2025	běžný rok	+1Y
minimum	5,0	4,0
průměr	6,1	5,1
maximum	7,0	6,4

FORECAST FOR NOMINAL WAGE GROWTH (%)

Horizont predikce Predikce za měsíc	běžný rok	běžný +1Y
červen 2024	6,8	5,4
červenec 2024	6,8	5,4
září 2024	6,7	5,5
říjen 2024	6,7	5,5
prosinec 2024	6,8	5,7
únor 2025	5,8	5,1
květen 2025	5,7	4,9
červen 2025	6,1	5,1

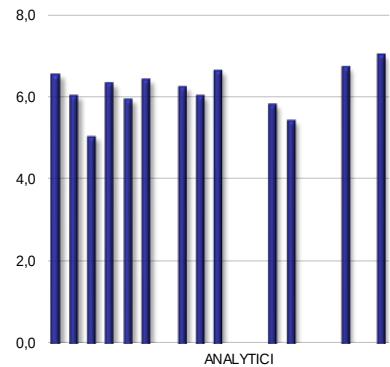
At the end of May 2025, the Czech Labour Office registered 316,000 job seekers. This was almost 2,500 fewer than a month earlier and just under 42,000 more than at the same time last year. Therefore, the share of unemployed persons fell by 0.1 percentage point to 4.2% at the end of May, which is 0.6 percentage point more than a year ago. Seasonal hiring in the hospitality and tourism sectors contributed most to the month-on-month drop in unemployment. Favourable labour market developments create room for buoyant wage growth. The average gross monthly nominal wage rose by 6.7% (or CZK 2,943) year on year to CZK 46,924 in 2025 Q1. With consumer price inflation at 2.7%, this represents real wage growth of 3.9%.

The expected economic recovery and the related relatively low unemployment rate should allow relatively high wage growth to continue. Employees will continue to strive to make up for the recent drop in their real income. Public sector pay rises and the increase in the minimum wage also play a role. Compared to the May survey, the analysts on average increased the estimate for nominal wage growth this year by 0.4 percentage point to 6.1%. However, they are already expecting wage growth to slow to 5.1% next year, but this is still 0.2 percentage point higher than they predicted a month ago. Such a nominal pace should ensure (with expected inflation close to the inflation target) a rise in real wages in both periods under review.

The CNB's spring forecast expects nominal wages to grow by 6.1% in 2025 and slow to 4.9% in 2026.

INDIVIDUAL PREDICTIONS

AVERAGE FOR THIS YEAR IN %



WAGE GROWTH AT END OF CURRENT YEAR

AVERAGE AND RANGE OF PREDICTIONS IN %

